

NVIDIA Corporation

NVDA NASDAQ

Buy	\$227.25 ▲ 2.24%	12M Price Target \$260.00	52-Week Range \$164.27 – \$236.54	Market Cap \$5.49T
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NVDA: Semis Rip Higher, But Watch the Rotation

WHAT HAPPENED

- NVDA popped another 2.2% to \$227 on heavy but not crazy volume — that's a 7% run in a week, and it's happening alongside AMD hitting an all-time high and Micron ripping. Translation: this isn't NVDA-specific news, it's the entire AI semiconductor complex getting re-rated higher, likely because hyperscalers (Amazon, Microsoft, Google, Meta) keep raising their AI spending forecasts.
- Jensen Huang is out doing press pushing back on "AI extinction" fears — read that as him getting ahead of the regulatory conversation in DC. When the CEO is on offense in the media, it usually means he sees policy risk building and wants to shape the narrative before Washington does.

WHY IT MATTERS

Here's what's really going on: the fact that AMD and Micron are outperforming NVDA today is actually a bullish tell for the sector but a subtle warning for NVDA specifically — money is saying "AI demand is so strong the #2 and #3 players are getting fed too." That's classic late-cycle-of-a-move behavior where investors reach for cheaper exposure. Meanwhile, CFO Colette Kress dumped ~\$7.6M in stock on Sept 17, and while insider selling near highs is normal (10b5-1 plans), a cluster like this right at the 52-week high tells you management doesn't see obvious near-term upside they're rushing to capture. Net-net: the trend is your friend, but the easy money in NVDA specifically has been made — the next leg needs a real catalyst (earnings, a China deal, or a big government contract).

POLICY & POLITICAL WATCH

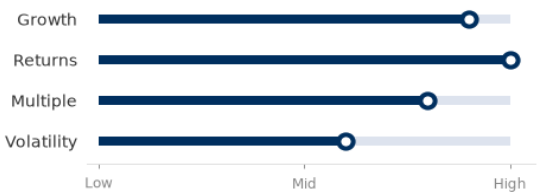
The big one to watch: the Trump administration's China chip export framework — there's ongoing back-and-forth about whether NVDA can sell its H20/B20 China-specific chips, and any loosening would unlock billions in revenue that's currently zeroed out of estimates. Second, the CHIPS Act 2.0 discussions in Congress around expanding domestic AI infrastructure subsidies could indirectly benefit NVDA by funding more US data center buildouts (their customers). Third, watch for any AI safety executive order — Jensen's media tour this week suggests something is brewing, and heavier regulation would hurt smaller competitors more than NVDA, which has the compliance budget to absorb it.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$227.25
12M Price Target	\$260.00
Upside / (Downside)	+14.4%
Market Cap	\$5.49T
FY2027E Revenue	\$235M
FY2028E Revenue	\$295M
FY2027E EPS	\$5.85
FY2028E EPS	\$7.40
Fwd P/E	38.8x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$245.00	\$232.00	\$210.00
6 Months	\$275.00	\$250.00	\$195.00
1 Year	\$310.00	\$260.00	\$180.00
2 Years	\$380.00	\$300.00	\$170.00
5 Years	\$550.00	\$400.00	\$200.00
10 Years	\$900.00	\$600.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+2.4%) and Communication Services (+3.8%) — this is the AI trade broadening out, with policy tailwinds from a US administration that wants American AI dominance and is (so far) not regulating it heavily.

COOLING OFF: Real Estate and Industrials are flat-to-down on a 5-day basis — money is flowing OUT of defensive/rate-sensitive names and INTO growth/AI.

ROTATION WATCH: Within semis, capital is rotating from NVDA (mega-cap, already up huge) into AMD and memory names (Micron) — investors are hunting for "the next NVDA" rather than paying up for the leader. That's healthy for the sector but means NVDA might lag on a relative basis short-term.

RELATED PLAY: If you want second-order AI exposure, look at power/utilities serving data centers (Vistra, Constellation) and the networking picks-and-shovels (Arista, Broadcom) — data centers need power and networking as much as GPUs.

WHO'S WINNING IN THIS SPACE?

- AMD (Advanced Micro Devices): Hit a new record today — MI400 series ramping and hyperscalers wanting a second GPU supplier for negotiating leverage against NVDA.
- MU (Micron): High-bandwidth memory (HBM) is sold out through 2027 — every NVDA GPU needs Micron/SK Hynix HBM, so they're a direct beneficiary of the AI buildout.

NVDA CONTEXT: NVDA is lagging its own peer group today (+2.2% vs AMD's record breakout) — that's a subtle sign the "easy trade" is shifting to the #2 and #3 players. Doesn't mean NVDA is broken, but it suggests the next 6 months might be sideways-to-up rather than another vertical rip.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 5-8% of portfolio

Entry Points: \$215-220 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Hyperscaler capex guide-down, or China export rules tightening to zero revenue

Hedging: Long SMH ETF puts or pair with short AMD if spread gets extreme